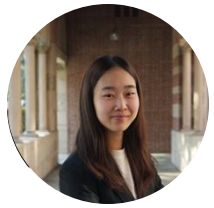


Winning the ANZ Market Through Loyalty



Executive Summary

Situation

How can JD Sports successfully launch and scale its STATUS Loyalty Program in the ANZ region to drive adoption, engagement, and personalized growth within a $1M marketing budget?



Solution

Adapt JD STATUS's proven UK framework to ANZ through exclusivity, marketing, and gamified personalization to turn sneaker culture into lasting loyalty



Impacts

5.6x ROI By Year 1	**$152M AUD** Incremental Revenue	**272k** Users By Year 5



ANZ Sportswear Rising, But Loyalty Untapped

ANZ Market Size & Growth

1. Sportswear market is projected to reach **$5.46B** by the end of the year
2. Loyalty market worth **$4B,** growing **9.5–12% annually to 2028**
3. Athletic sneakers now account for more than **60% of Australia's sports footwear sales**

Consumer Behavior & Market Issues

High Loyalty Adoption

62% of ANZ consumers use at least **one loyalty program weekly**

Intense Competition

Accent Group (Hype DC + Platypus), Foot Locker, Rebel, The Iconic, and Culture Kings **dominate the market right now**

No Sneaker Loyalty

Despite high loyalty use, **no program targets sneaker or streetwear culture**

Competitors Drive Engagement, But Lack Loyalty Framework

Accent Group (Hype DC + Platypus)

1. Exclusive sneaker drops drive **repeat traffic**
2. **Seasonal promotions** reward frequent buyers
3. VIP early access on **limited releases**

Culture Kings

1. In-store events enhance **brand awareness**
2. Limited collabs **reward brand enthusiasts**
3. **Massive clearance sales** build engagement

Key Takeaway

Competitors use exclusives, collabs, and events to retain customers—but **lack a formal loyalty framework.** JD STATUS can **formalize and gamify** these incentives

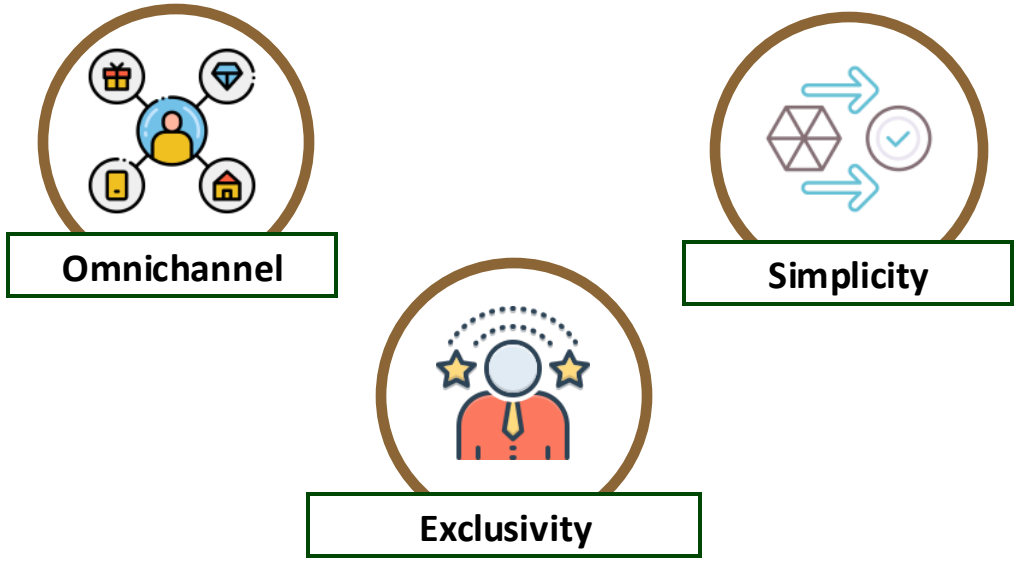
Learning from STATUS UK to Win in ANZ

Boosted promotion offers through **spend thresholds** to keep members engaged and spending consistently

Easy **in-store scanning** and **app syncing** to lower friction and drive repeat use of the STATUS rewards app

Strong incentive to sign-up through **10% first-purchase bonus** which has led to high user traction

Core Competencies



JD STATUS ANZ Key Goals

1 **Expanding Market Reach**
Launch and grow STATUS across ANZ using local insights, partnerships, and omnichannel marketing to drive adoption

2 **Increase Engagement & Personalization**
Increase retention through gamification, personalized rewards, and data-driven insights, creating a unified view of the user

UK results confirm loyalty boosts spend, repeats, and engagement—the framework is ready to adapt for ANZ

Three Pillars to Win in ANZ



UK Framework

Leverage STATUS UK's proven model: simple earn-and-redeem structure, omnichannel access, and exclusive drops/events driving higher spend and repeats



Marketing Strategy

Engage ANZ youth with sneaker drops, influencer collabs, and sports partnerships, supported by campaigns to boost sign-ups



Gamification & Personalization

Keep members active with tiered-rewards systems, boosted promos, and in-game drops, while using data to personalize offers

Creating New Features To Help JD App Stand Out And Engage Customers

1.

Merge the JD app with JD STATUS for convenience for customers



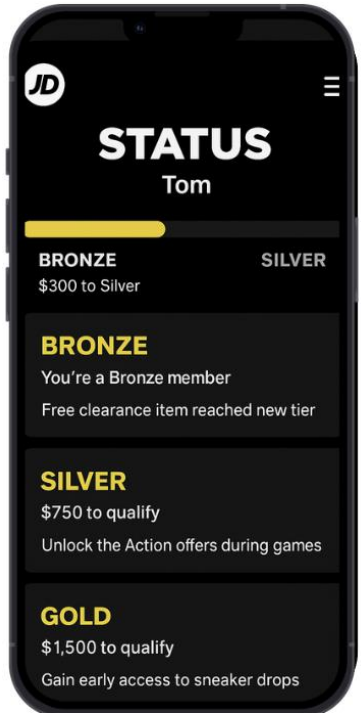


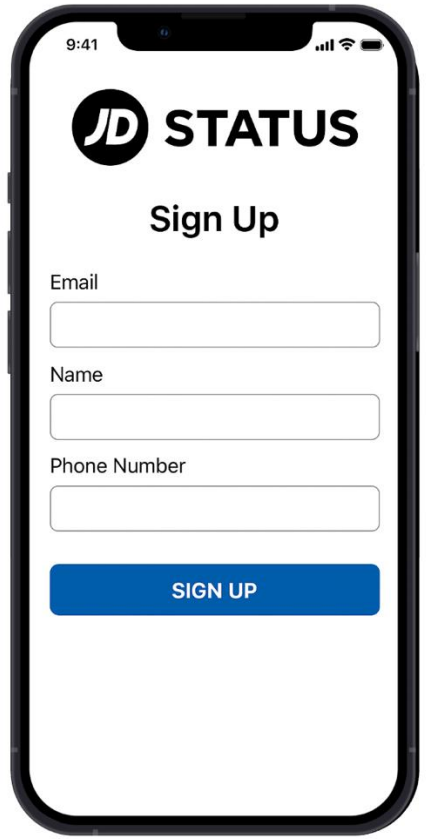
2.

Gamify the loyalty program while still utilizing the app for efficiency

3.

Create levels within the loyalty app to drive engagement





4.

Includes easy sign-up process for customers

JD Loyalty App For All Customers No Matter Their Spending Level



Signing Up Is Easy

Users only have to input basic information into the new JD app to be part of the program



Open to All Program

Anyone is allowed to sign up to be part of the JD membership without needing to make any purchases



Efficiency and Convenience

Access to limited parts of the app while being able to shop online and browse products easily



JD Members



Bronze - $300



Silver - $750



Gold - $1500

Komo

komo
Own the Moment

18% Of retail store traffic dropped in April 2020 because of Covid-19 [1]

70% Increase in online coupon redemption because of gamification [1]

Source: [1] Komo

Providing Surprise Packs To Those Part Of The Starter Pack Level

Gold 3

Silver

Bronze

Fast Fashion Issue

1. **Buying too much**
   On average, every Australian buys 56 items of clothing yearly [1]



2. **Consuming too much**
   Australia is the second highest consumer of textiles in the world [1]



3. **Decreasing Inventory**
   JD sports may run out of inventory when balancing new drops for all the different brands they work with





Won't be marketed as clearance items or for sale items, instead bundled with other items



Bi-monthly surprise packs for members in the Bronze level



Reward is applicable to greatest target demographic because of it's altering surprises

Source: [1] Australia Institute

Crafting In-game Interactive Experiences For Sports Driven Customers

Gold

Silver

Bronze

Silver Level Features



During AFL or NRL games JD will release in game codes for customers to redeem



Rewards can be discount codes, buy one get one for various items, or extra entries to raffle prizes



Aligns with the target demographic, 18–30-year-old, with a deep interest in Australian sporting teams

Hungry Jack's

HUNGRY JACK'S

The missed free throw promotion has become one of the league's most successful fan engagement campaigns, with redemption rates exceeding **20%** on average [1]

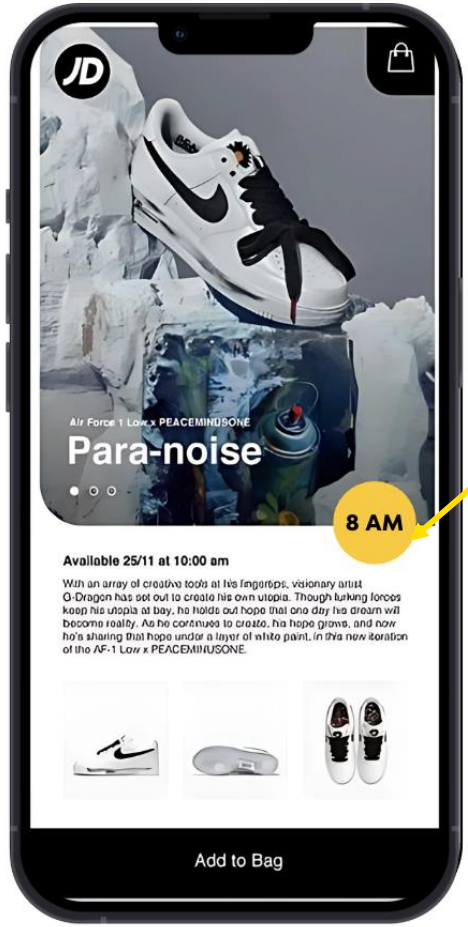
Source: [1]: Hungry Jack's

Unlocking The JD Vault For The Highest Paying Customers

Gold

Silver

Bronze



Builds on the Silver level codes but makes JD vault feel even more exclusive

Early access to presale slots for high-heat drops

Exclusive vault access for restocking of archived items



Nike

Exclusive early access and drops in Nike's app keep members engaged, with loyalty members spending **40%** more on average than non-members.

Source: [1] Nike FY24 Annual Report

Implementation

To Launch JD STATUS, We Recommend a 4-step Omnichannel Marketing Strategy



Anytime Fitness Gym Partnership

Launch JD STATUS by partnering with anytime fitness to drive STATUS sign-ups



#StatusOnCampus Ambassadors

Initiate #StatusOnCampus student ambassador program to tailor campus activations



Creating a JD Lifestyle

Sustained gym and campus activations keep STATUS visible and progress measurable



Personalized JD Status

STATUS data feeds a bandit algorithm to deliver a personalized app experience

To Launch JD STATUS, We Recommend a 4-step Omnichannel Marketing Strategy

Launch Phase



Anytime Fitness Gym Partnership

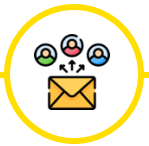
Launch JD STATUS by partnering with anytime fitness to drive STATUS sign-ups



#StatusOnCampus Ambassadors

Initiate #StatusOnCampus student ambassador program to tailor campus activations

Sustain Phase



Creating a JD Lifestyle

Sustained gym and campus activations keep STATUS visible and progress measurable



Personalized JD Status

STATUS data feeds a bandit algorithm to deliver a personalized app experience

Launch JD STATUS by Partnering with Anytime Fitness To Drive STATUS Sign-Ups

Marketed as “Australia’s most welcoming gym,” Anytime Fitness is a 24/7 gym chain

Geographic Suitability

Has 580 gyms in Australia and 60 gyms in New Zealand

Target Demographic

Targets those between working, middle-income individuals aged 18-45[1]

Marketing Strategy

Proved to have high conversion to long-term members [2]

Features of the Partnership

1. **Easy Access**
   QR codes inside gyms link directly to STATUS download page

2. **Sign-Up Benefit**
   Signing up for JD STATUS unlocks a free 7-day gym trial with consultation

3. **Encouraging Purchase**
   Gifted $10 Vouchers which activates after first purchase with 30-day expiry

Source: [1] Similar Web, 2025; [2] Athletech, 2025

Implementation

Initiate #StatusOnCampus Student Ambassador Program to Tailor Campus Activations to School Culture and Trends

#StatusOnCampus Student Ambassador Program

#STATUS ON CAMPUS

1. Ambassadors distribute unique QR codes that track sign-ups and purchases
2. Sign-ups via QR code unlock a 10% student discount after first purchase
3. Performance bonuses tied to referral-to-purchase conversions

16 ambassadors across 8 universities located in JD's operating cities

Ambassadors get **free JD gear** each semester and **performance bonuses**

Ambassadors receive a **$2K budget** to run activations tailored to their student body

Adidas' #OwnTheCampus



153M Social media impressions on student-generated content[1]

35% Increase in student traffic to on-campus Adidas retailers[1]

Source: [1] Youth Marketing

Sustained Gym and Campus Activations Keep STATUS Visible and Progress Measurable Beyond Initial Sign-Ups

Long-Term Marketing Channels

1. Gyms

Regular gym touchpoints keep members engaged beyond purchases



Seasonal activations such as “New Year Reset” to reengage with potential users



Aligned missions to host physical and digital events to promote a healthy lifestyle

2. Campus

Continuous campus presence builds lasting loyalty over time



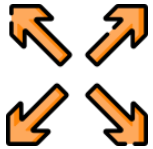
Ambassadors are selected each semester



Ongoing engagements across campus



Referral code can evaluate performance



Continuously expand to new universities

Impact



Sustained Engagement
Regular events keep STATUS visible beyond the initial sign-up

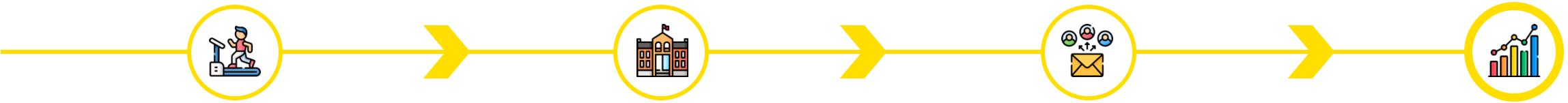


Scalable & Trackable
Online presence captures customer data and amplifies event hype



Experiential Branding
Engagements turn STATUS into a lifestyle experience beyond purchases

STATUS Data Feeds a Bandit Algorithm to Deliver Personalized Notifications, Rewards, and Cross-sell Offers that Drive Loyalty



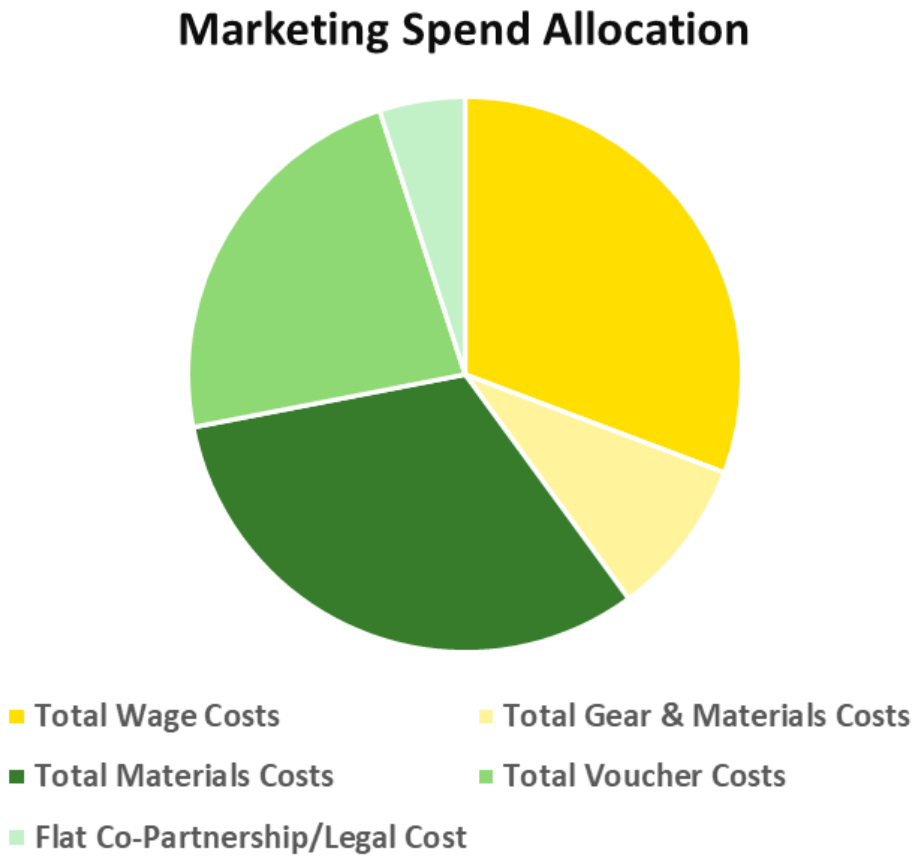
Purchase history | **Engagement data** | **Location** | **Demographics**

Multi-Armed Bandit Algorithm

Personalized notifications | **Tailored rewards** | **Cross-selling suggestions**

Impact

Of the $1mm AUD provided as a total marketing budget, JD Sports can expect a ~60% allocation to the Gym Outreach initiative and 40% allocate to the University Ambassadorship Program.



~$1mm	Yearly Marketing Spend
~$.8mm	Tech Development Costs
~$.2mm	(Amortized) Tech Development Costs

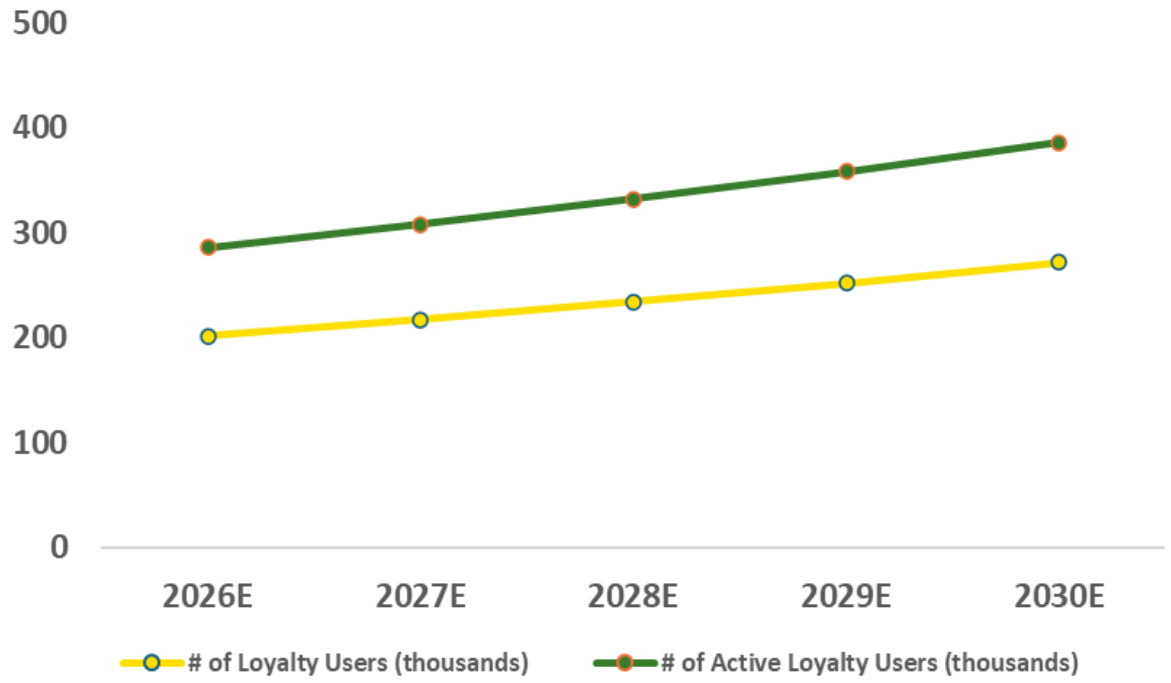
Yearly Investment Cost: ~$1.2mm



Impact

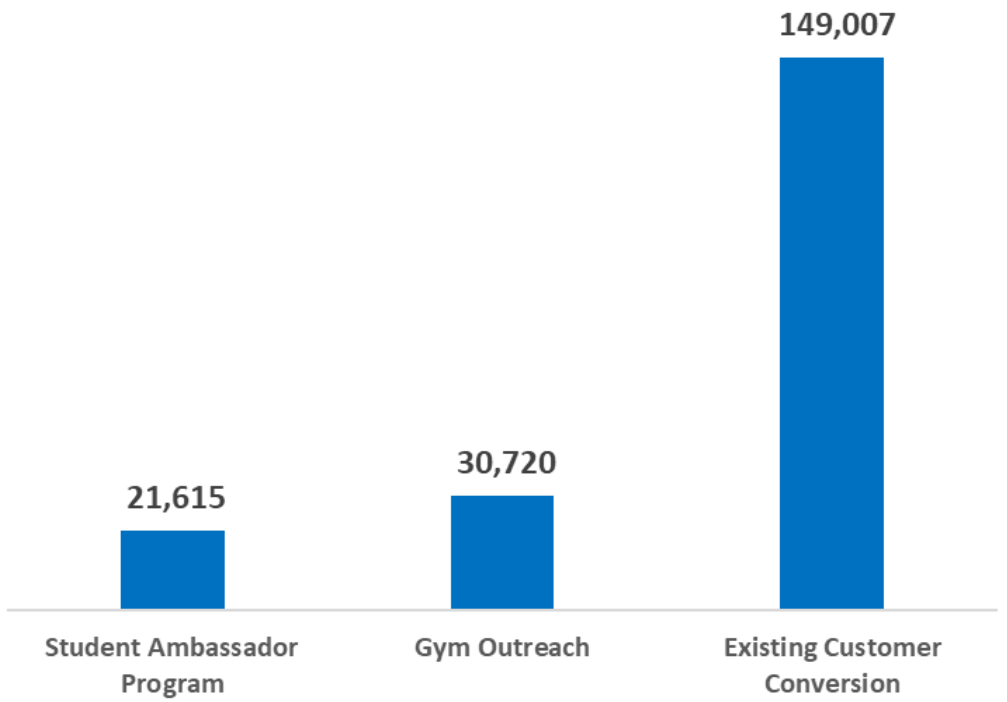
The estimate for new loyalty users is driven from three primary channels, across existing customer conversion, gym outreach, and the student ambassador program.

Growth in New Loyalty Users



With a ~187,000 estimated users at launch, JD Sports can expect a 42% active user rate (85,000 active users in Y1), and a 7.8% YOY organic growth in users.

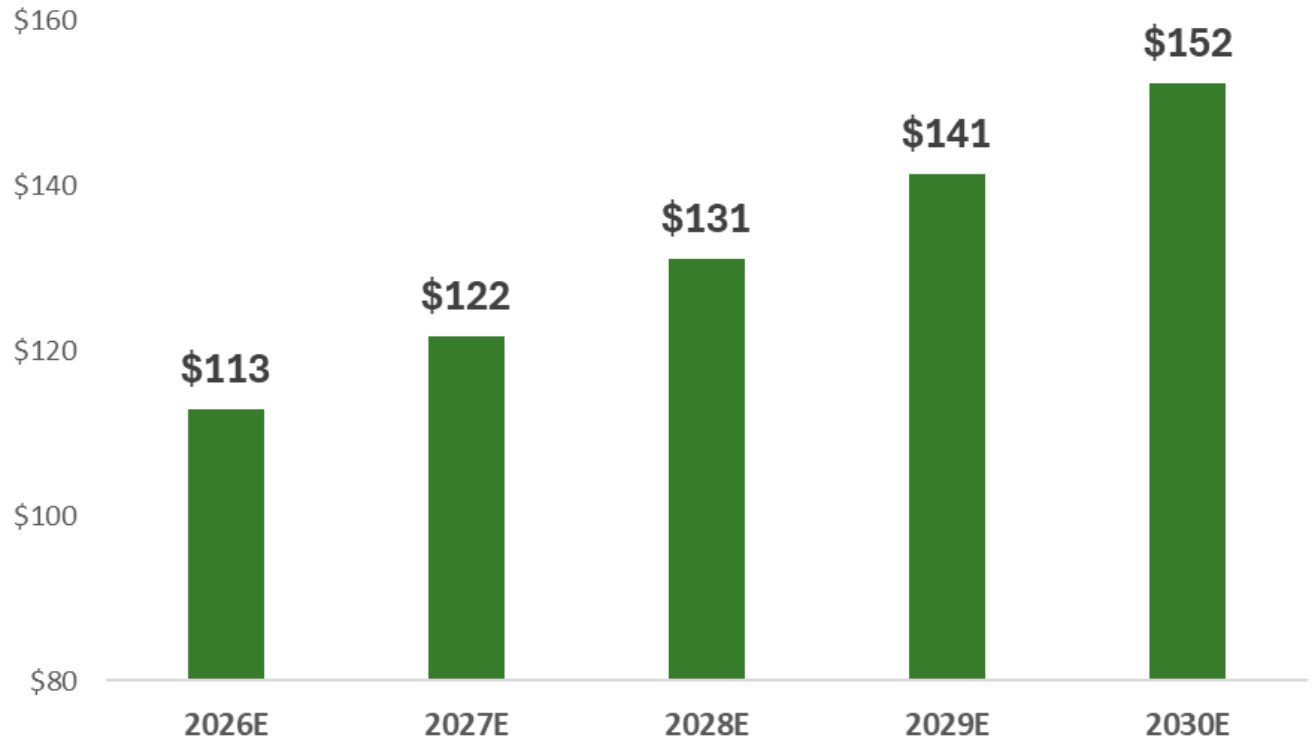
of Users from Key Channels



Estimates for new loyalty users account for several factors across respective channels, including student population, number of gym members, and estimated conversion rates.

Annual Revenue Build

Annual Incremental Revenue (Millions AUD)



~$659mm in additional revenue over the next 5 years

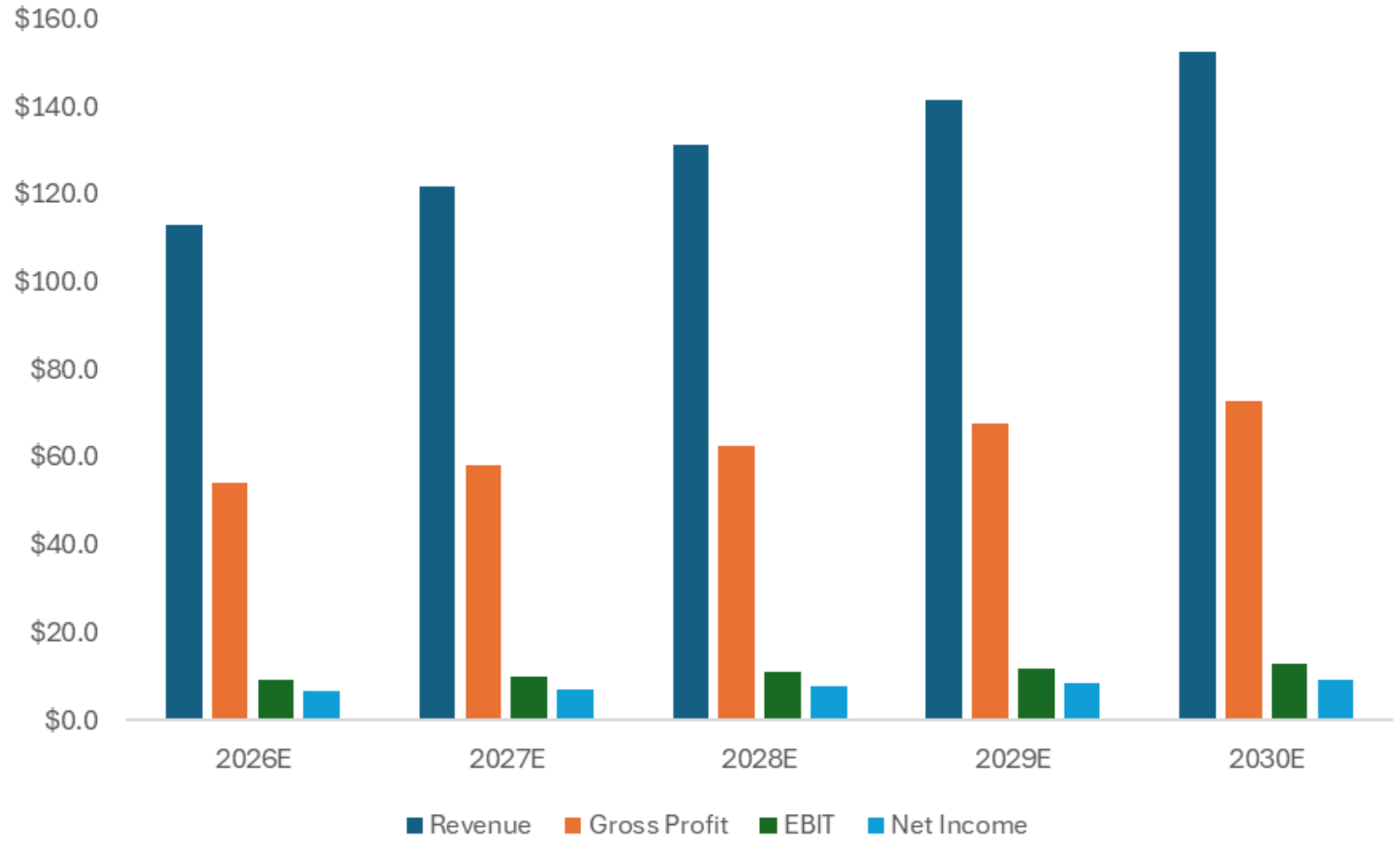
Annual Purchase Frequency of Loyalty Customers: 10x
Annual Purchase Frequency of Non-Loyalty Customers: 4x
Incremental Purchase Frequency of Loyalty Customers: 6x

Average Basket Size: $151
Incremental Revenue per Transaction: $71
Average Revenue Per Transaction: $222

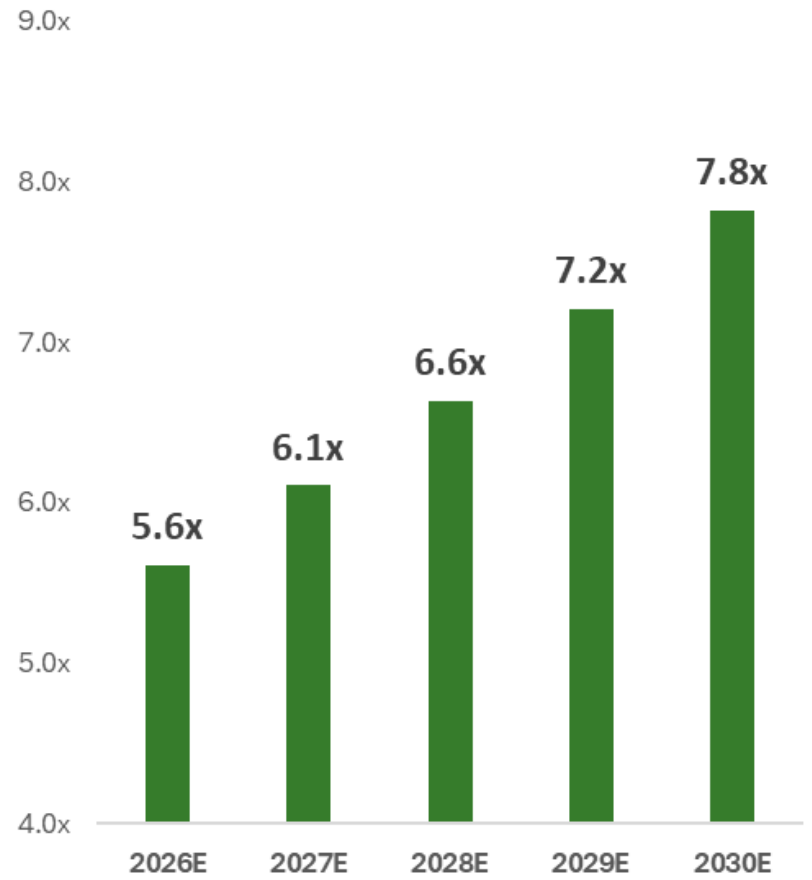
Incremental Purchase Frequency x Average Revenue Per Transaction x # of Active Users
= Incremental Revenue

Operating Margins, Profit, and ROI

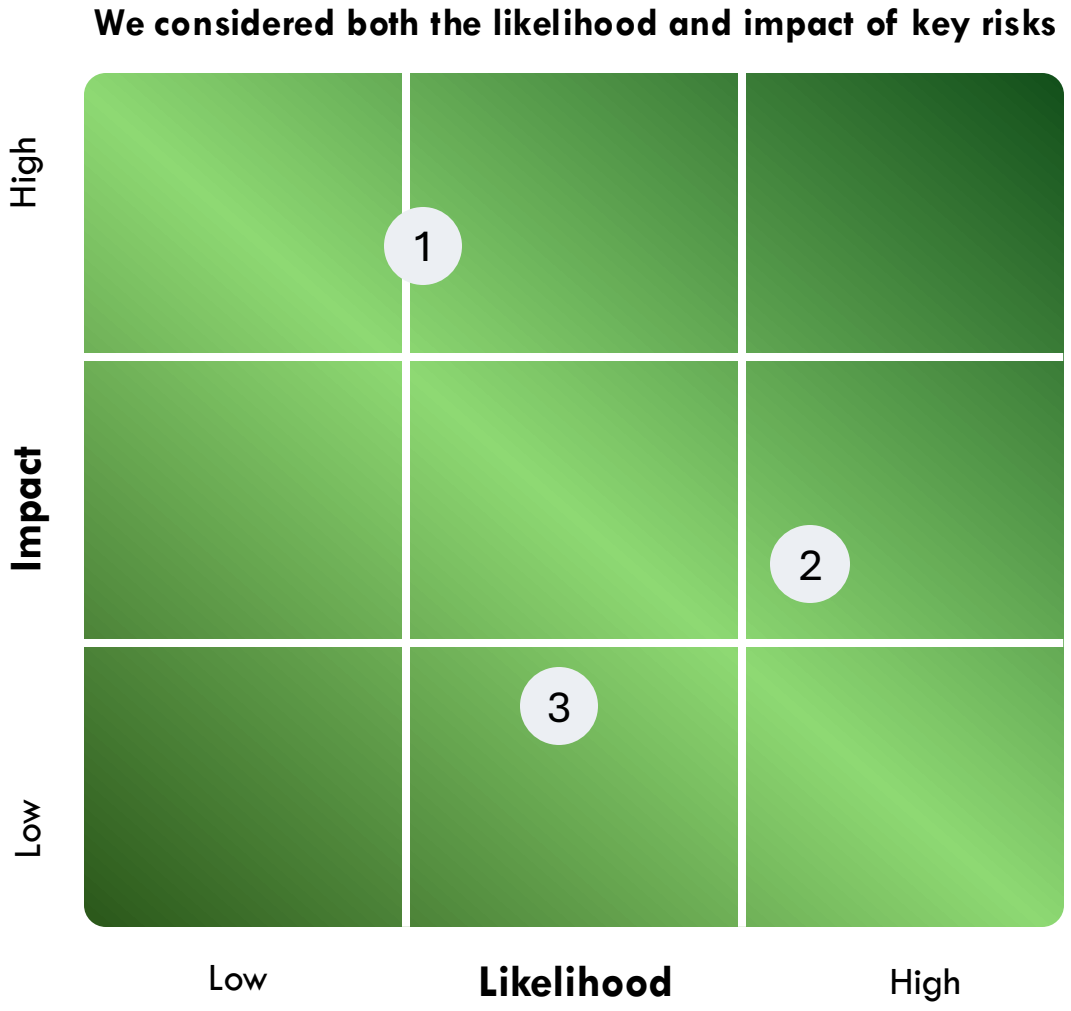
Operating Margins & Profit Impact



ROI



Risks & Mitigations

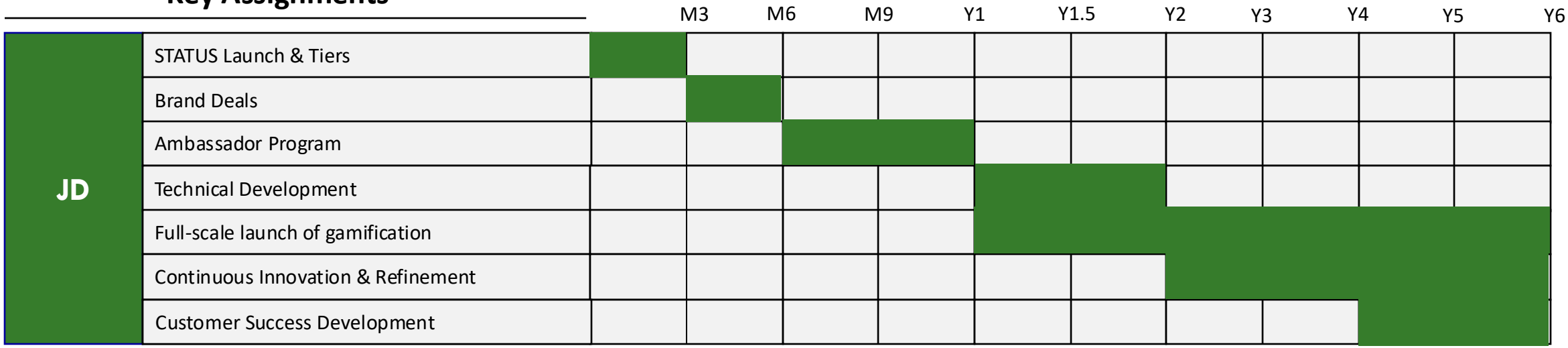


Mitigations for potential execution risks

Risk	Mitigant
1. Low sign-up adoption	Launch strong initial incentives (10% sign-up bonus, exclusive drop access) + partnerships
2. Competitive Response	Differentiate with gamification, tiered rewards, and a formalized loyalty framework
3. Technical/Operational Challenges	Pilot rollout in select cities before nationwide scale

Timeline

Key Assignments



Immediate Next Steps

1. Extending UK Framework
2. Brand Deals
3. Gamifying System
4. Technical Preparation
5. Personal Algo Development

Executive Summary

Situation

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Impacts

5.6x ROI By Year 1	**$152M AUD** Incremental Revenue	**272k** Users By Year 5



Appendix

Table of Contents



Marketing Spend Build

Marketing Spend	
Student Ambassadors	
Number of Universities	8
Ambassadors per University	2
Hours Per Week	20
Total Weeks	30
Minimum Wage (Australia)	$24.95
Wage (1.25x Minimum)	$31.19
Potential Bonus	500
Total Wage Costs	**$307,400**
JD Apparel per Ambassador	$1,500
Univeristy Activation Costs	$2,000
Materials (flyers, booth, free materials)	$8,000
Total Gear & Materials Costs	**$92,000**
Total Student Ambassador Costs	**$399,400**
Anytime Fitness Outreach	
Number of Gyms	640
Printing & Distribution Costs	$500
Total Materials Costs	**$320,000**
Voucher Liability	$10
Vouchers per Site	120
Voucher redemption rate	30%
Total Voucher Costs	**$230,400**
Flat Co-Partnership/Legal Cost	**$50,000**
Total Anytime Fitness Outreach Costs	**$600,400**
Total Spend	**$999,800**

Loyalty Users Build at Launch

of Loyalty Users Build at Launch (2026E)

University Ambassadors

	Population	Conversion Rate	New Loyalty Users
Monash University	86,000	5%	4300
RMIT University	91,000	5%	4550
University of Sydney	54,300	5%	2715
University of Melbourne	52,000	5%	2600
UNSW	64,000	5%	3200
University of Auckland	42,000	5%	2100
University of Otago	21,000	5%	1050
Victoria University of Wellington	22,000	5%	1100
Total	432,300		**21,615**

Anytime Fitness Outreach

Total Gyms	640
Average # of Members per Gym	1200
Total Members	768,000
Conversion Rate	4%
New Loyalty Users	**30,720**

Existing User Conversion (Organic Growth)

Annual Revenue for FY2023 (mm)		600
Average Basket Size	$	151
# of Annual Transactions (mm)		4
Frequency of Non-Loyalty Customers		4x
Organic Customer Base (mm)		1
Converstion Rate		15%
New Loyalty Users		**149,007**
Total New Loyalty Users at Launch		**201,342**

Income Statement

Income Statement					
	2026E	2027E	2028E	2029E	2030E
Revenue	**$112.8**	**$121.6**	**$131.1**	**$141.4**	**$152.4**
Gross Profit	**$53.9**	**$58.1**	**$62.7**	**$67.6**	**$72.8**
Gross Margin	*48%*	*48%*	*48%*	*48%*	*48%*
Standard EBIT	$10.4	$11.2	$12.1	$13.0	$14.0
Standard Operating Margin	*9%*	*9%*	*9%*	*9%*	*9%*
(-) Marketing Spend	$1.0	$1.0	$1.0	$1.0	$1.0
(-) Technological Development Costs (Amort	$0.2	$0.2	$0.2	$0.2	$0.2
EBIT	**$9.2**	**$10.0**	**$10.9**	**$11.9**	**$12.9**
Operating Margin	*8%*	*8%*	*8%*	*8%*	*8%*
Tax Rate	30%	30%	30%	30%	30%
(-) Taxes	$2.8	$3.0	$3.3	$3.6	$3.9
Net Income	**$6.5**	**$7.0**	**$7.6**	**$8.3**	**$9.0**

Revenue Build

Revenue Build	2026E	2027E	2028E	2029E	2030E
# of Loyalty Users (thousands)	201	217	234	252	272
YOY Growth		*8%*	*8%*	*8%*	*8%*
% of Loyalty Users Active	42%	42%	42%	42%	42%
# of Active Loyalty Users (thousands)	85	91	98	106	114
Incremental Purchase Frequency	6x	6x	6x	6x	6x
Aveerage Revenue per Transaction	$222.4	$222.4	$222.4	$222.4	$222.4
Revenue (mm)	**$113**	**$122**	**$131**	**$141**	**$152**
Revenue Per Loyalty User Transaction					
Average Basket Size	$ 151	$ 151	$ 151	$ 151	$ 151
Incremental Revenue per Transaction	$ 71	$ 71	$ 71	$ 71	$ 71
Average Revenue per Transaction	$ 222	$ 222	$ 222	$ 222	$ 222
Incremental Purchase Frequency of Loyalty Users					
Frequency of Loyalty Customers	10x	10x	10x	10x	10x
Frequency of Non-Loyalty Customers	4x	4x	4x	4x	4x
Incremental Purchase Frequency	6x	6x	6x	6x	6x

ROI Calculation

ROI Calculation					
Net Income	**$6.5**	**$7.0**	**$7.6**	**$8.3**	**$9.0**
(-) Marketing Spend	$1.0	$1.0	$1.0	$1.0	$1.0
(-) Technological Development Costs (Amort	$0.2	$0.2	$0.2	$0.2	$0.2
Total Investments	**$1.2**	**$1.2**	**$1.2**	**$1.2**	**$1.2**
	2026E	**2027E**	**2028E**	**2029E**	**2030E**
ROI	**5.6x**	**6.1x**	**6.6x**	**7.2x**	**7.8x**

Implementation: Why gyms + Why Anytime Fitness

Existing collaborations
They already partner with various fitness and health-related brands including Apple Fitness+ as well as ASICS

Mutual audience over
JD Sports targets athletic streetwear, sneaker culture, style + sport. Anytime Fitness members often overlap: people who want to look good while working out, maybe frequent gym clothes / sneakers.

Data & member experience focus
Anytime Fitness is investing in predictive analytics & member experience improvements. This shows they're open to tech / data-driven partnerships (so would welcome a loyalty program integration).

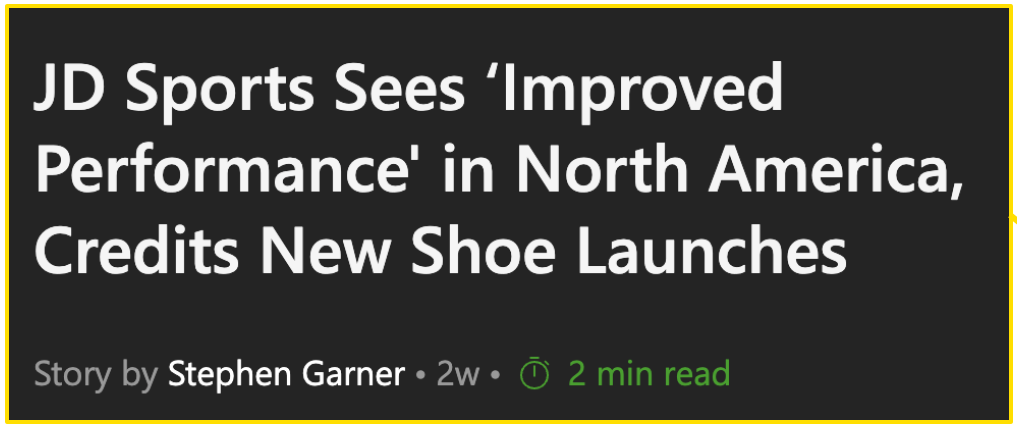
Implementation: Which gyms

Region	F45	Anytime Fitness	EFM Health Clubs
Core Audience	Late 20s to early 40s, skewing roughly 70% women and 30% men	Much broader—members span a wide age range from teens to seniors	Middle-income to upper-middle-income aged 25-50
Lifestyle	Attracts fitness enthusiasts seeking structured, high-intensity, group-based workout	Appeals to anyone seeking convenient, affordable, 24/7, aims to eliminate traditional barriers to gym use for ordinary people	Young and middle-aged adults who value coaching and community rather than just access to gym equipment
Urban Focus	Concentrated in urban centers and affluent suburbs	More evenly distributed across urban, suburban, and regional locations	
Number of Stores	~ 235-240 studios in Australia	~ 580-600+ clubs across Australia	~ 60-70 clubs nationally; strong corporate / medical wellness presence

Implementation: Which Campuses

Region	University	Approximate Student Population
Melbourne	Monash University	~73,800
Sydney	University of Sydney	~61,200
Brisbane	University of Queensland (UQ)	~52,000
Perth	Curtin University	~52,100
Adelaide	University of South Australia	~35,000
Canberra	University of Canberra	~18,000
Darwin	Charles Darwin University	~20,000
Wellington	Victoria University of Wellington	~17,000

Implementation: One of the most anticipated events is sneaker launches







Building an online presence means additional hype and more data regarding what customers and potential customers want

Implementation: Multi-Armed Bandit Algorithm (MABs)

1. **Phase 1 — Stateless bandit (ε-greedy or UCB)**
    1. Arms: e.g., 3 notification templates; 3 cross-sell bundles; 3 reward types.
    2. Objective: click-through or conversion.
    3. Why: simple, fast to deploy, no heavy ML.
2. **Phase 2 — Contextual bandit (per-user signals)**
    1. Context: tier, last brand purchased, days since purchase, campus/gym participation.
    2. Objective: purchase/margin-weighted reward.
3. **Phase 3 — Constraints & optimization**
    1. Add **guardrails**: cap discount cost per user/month, fairness so Bronze isn't ignored, inventory constraints for drops.
    2. Shift objective from clicks to **profit/CLV uplift**

Always-on decisions: Notifications, rewards, and bundles happen daily/weekly, not once-off campaigns.
Learn + earn simultaneously: Instead of wasting traffic on "loser" messages like in A/B, MAB shifts traffic to the best-performing ones while still exploring.
Personalisation ready: You can start simple (ε-greedy, UCB) and later add context (tier, last purchase, activity level) → contextual bandit = tailored to each member.
Cost control: Easy to add constraints (e.g., don't give out >$10 of discounts per user/month).

Implementation: Multi-Armed Bandit Algorithm (MABs)

